

Job Entrance Test for Direct Sales Representative/Customer Service Officer I position

Name of the Candidate: - [REDACTED]

Time Allowed: -1 hour

Part I:-Choose the correct answer from the given alternatives (1 point each)

- A 1. Which of the following is most likely to be a result of competition?
- A. Development of new products C. High prices
B. Reduction in product quality D. More monopolies
- D 2. What can employees do to help provide good service to customers?
- A. Offer discounts C. Plan events
B. Lower prices D. Resolve problems
- B 3. What is a factor that affects a business's selection of policies to guide its operations?
- A. Personal preferences of management C. Communication skills of employees
B. Nature of the business D. Space available to display policies
- B 4. Which of the following is an appropriate attitude for the salesperson to have toward customers' complaints?
- A. Complaints are the business's problem. B. Complaints should be handled by management.
C. Complaints can often be opportunities. D. Complaints can usually be prevented.
- B 5. Into what two categories can wants be divided?
- A. Economic and noneconomic x B. Unlimited and economic
C. Unlimited and limited D. Unlimited and noneconomic
- D 6. Which of the following is an example of current liabilities that a business should include in its balance sheet?
- A. Mortgage loans B. Accounts receivable
C. Owner's equity D. Employees' salaries
- D 7. Which of the following is an example of factual information?
- A. It seems that we have a problem. B. I believe that the product is defective.
C. Last quarter, sales increased by 12%. D. Kerry and Dean are the nicest managers.
- B 8. Which of the following is the best way to handle dishonest customers?
- A. Mirror their behavior.
B. Explain and demonstrate good service as many times as you need to.
C. Never press for sales or decisions.

- D. Don't jump to quick conclusions.
9. Which of the following has inelastic demand?
- A. Bread
B. Ice cream
C. tickets for film
D. Television sets
10. Which of the following is the best approach to solving most problem situations:
- A. Take plenty of time to handle the problem.
B. Wait until the problem solves itself.
C. Act as quickly as possible.
D. Get as much advice from others as you can.
11. Admitting that you made a mistake can be difficult because making a mistake is so
- A. predictable.
B. common.
C. ordinary.
D. embarrassing.
12. Your ability to empathize with someone else is limited by the number/nature of your experiences and by your
- A. physical traits.
B. job training
C. self-understanding.
D. job skills.
13. Which of the following techniques helps to build trust in negotiations?
- A. Share information that may be threatening
B. Provide a lot of documentation
C. Always have an answer ready
D. Show respect by actively listening
14. One of the most important ingredients for improving your human relations skills is
- A. external factors.
B. determination
C. aggression.
D. defensiveness.
15. One of the reasons that businesses and consumers use credit is because it provides
- A. convenience.
B. reassurance.
C. interest
D. collateral
16. If a business lowers the price of a product for the purpose of taking business away from competitors, the result of this action often is a (n)
- A. increase in profit.
B. gain in market share.
C. decrease in cost.
D. reduction in staff.
17. The owner of a real estate firm wants to increase housing sales next year by 15% over the current year. What element of marketing would be involved in attaining this goal?
- A. Place
B. Promotion
C. Price
D. Product
18. When conducting an environmental scan, which of the following is an economic factor that a business should consider?
- A. Global trade regulations
B. Consumer spending habits

~~C.~~ Local demographics

19. Purchasing can help manufacturing businesses to sharpen their competitive edge by

A. promoting products to customers.

B. maximizing inventory investment.

C. limiting shipment of goods.

D. keeping their prices down.

B 20. Which of the following is an example of production:

A. Purchasing food items ✓

B. Providing home security

C. Reading a new novel ✓

D. Answering your home telephone

A 21. Businesses try to maintain their operating equipment in good condition because major breakdowns could cause a business to

A. close.

B. relocate

C. expand.

D. remodel

A 22. Which of the following skills will most likely help a person to obtain a better job in the field of marketing and advertising?

A. Good interpersonal skills

B. Ability to use technology

C. Management skills

D. Ability to negotiate

B 23. One of the disadvantages of word-of-mouth advertising is that businesses usually have

A. low risks. ✓

B. high costs.

C. extensive input.

D. limited control.

A 24. Which of the following is a customer-relations factor that often keeps customers coming back to a business?

A. Low prices

B. Location

C. Goodwill

D. Credit terms

B 25. Which of the following is an example of price discrimination?

A. Offering substantial discounts to buyers of large quantities of a certain product

B. Selling the same quantity of the same product to different customers for different prices

C. Asking a company for a price break on products at the end of the regular season

D. Buying products from one company that are available for a lower price from another company

A 26. Which of the following statements is grammatically correct?

A. I was completed my elementary school in 2008

B. I completed my elementary school in 2008

C. I am completed my elementary school in 2008 ✓

D. I have been completed my elementary school in 2008

27. Coordinating business activities is an important aspect of the organizing function of management because it

- A. defines the company's mission statement. ✗
- B. enables the business to prepare precise forecasts. ✗
- ☒ C. establishes clear relationships among the company's resources.
- D. ensures that the employees understand all the business's activities.

28. Which of the following is the most important factor to consider when prioritizing work tasks:

- A. Employee's aptitude
- B. Enjoyment of tasks
- C. Coworkers' opinions
- ☒ D. Due dates of tasks

29. Which of the following will foster a business's ability to adapt to changing markets:

- A. Authoritarian leadership
- B. Reactive management
- C. Proactive management
- D. Conservative leadership

30. Which of the following is most likely to be a result of competition:

- A. Development of new products
- B. Reduction in product quality
- C. High prices
- D. More monopolies

31. Which of the following is a negative effect on businesses of government regulation:

- A. The use of resources is regulated.
- B. Unfair trade practices are prohibited ✗
- ☒ C. Additional expense and inefficiency are experienced
- D. Patents, trademarks, and copyright protection are provided. ✗

32. Another term for quality is:-

- A. non-conformance.
- ☒ B. adequacy.
- C. mediocrity
- D. excellence.

33. Bekele would like to be a business owner, has money to invest, and wants to limit his liability. He does not have time to participate in the day-to-day operations of the business. What type of business ownership would you recommend?

- A. Sole proprietorship ✗
- B. Open corporation
- C. Close corporation
- ☒ D. General partnership ✗

34. Eye contact, facial expression, and body language are examples of:-

- A. verbal acknowledgement responses.
- ☒ B. nonverbal cues.
- C. distractions.
- D. listening skills.

- B** 35. Which of the following is an appropriate attitude for the salesperson to have toward customers' complaints?
- A. Complaints are the business's problem.
 - B** Complaints should be handled by management.
 - C. Complaints can often be opportunities.
 - D. Complaints can usually be prevented.
- B** 36. Into what two categories can wants be divided?
- A. Economic and noneconomic
 - B. Unlimited and economic
 - C. Unlimited and limited
 - D. Unlimited and noneconomic
- D** 37. The primary purpose of fiscal policy is to
- A. expand businesses into new markets.
 - B. control the money supply. ✗
 - C. accelerate business cycles.
 - D** stabilize the economy
- D** 38. If a quantity demanded, $Q=50-p$, how much will be a price at maximum production?
- A. 25
 - B. 20
 - C. 24.5
 - D. 50
- D** 39. A message which is as short and to the point as possible is referred to as:
- A. complete.
 - B. courteous.
 - C. correct.
 - D** concise.
- D** 40. For a country which is experiencing civil unrest, what is likely to happen to the value of its currency?
- A. It will not be affected. ✗
 - B. It will increase.
 - D** It will decrease.
 - C. It will stabilize. ✗
- B** 41. What is the marginal revenue if a business sells 4,200 kgs and earns a total of \$13,650 in revenue?
- A. \$3.00
 - B. \$3.25
 - C. \$3.15
 - D. \$3.10
- C** 42. There is a renowned slogan that says "Customer is a king", what does it mean for companies?
- A. Employees are servants so that they shall be undermined
 - B. Customers are kings so that they shall govern companies ✗
 - C. Companies should always prioritize their customers over their employees
 - D. Customers deserve to be served appropriately
- A** 43. Which of the following is a key function of "positioning" in marketing campaigns?
- A. To provide a reason why the customer should buy the product.
 - B. To divert the customer's attention from the product's flaws.
 - C. To override the customer's previous mindset.
 - D. To distract the customer from considering a competitor's product.



44. Which element of the marketing mix includes the distribution of products?
A. Product
B. Price
C. Place
D. Promotion
45. What is most likely to happen when interest rates rise?
A. Investment activity decreases.
B. The demand for credit increases.
C. Business profitability increases.
D. The value of the dollar decreases.
46. What characteristic of a SMART objective does the following statement exemplify; Phase one of the project will be completed on May 10, 2021.
A. Time-bound
B. Realistic
C. Motivational
D. Structured
47. To calculate total revenue, a business multiplies the number of units sold by
A. average price per unit.
B. marginal revenue.
C. fixed costs.
D. marginal costs.
48. A product idea is feasible if it
A. meets sales quotas.
B. creates a competitive advantage.
C. costs a lot to produce
D. is a durable good.
49. You win \$35,000 in the lottery. If you invest your winnings in a savings account that earns 3.5% simple interest per year, how much money will you have a year from now?
A. \$33,775
B. \$36,225
C. \$35,035
D. \$38,500
50. What is the advantage of using accounting standards?
A. Presents financial information in a consistent format
B. Allows businesspeople to summarize financial data differently
C. Reduces the need for the full disclosure of financial data
D. Identifies inconsistencies in business procedures